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Market Information
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New Zealand

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Insider Trading & Market Manipulation Policy

In accordance with ASX Listing Rule 12.9, a copy of TOWER's Insider Trading and Market Manipulation Policy is attached.

Yours faithfully



Bronwyn Walsh
Company Secretary & Compliance Manager
TOWER Limited
ARBN 088 481 234 Incorporated in New Zealand

For personal use only

TOWER Limited

Insider Trading and Market Manipulation Policy

Issue Date:	August 2010
Next Review:	August 2011
Version:	1.0 August 2010
Applies to:	All Staff
Policy Owner:	Group Managing Director

1. Policy Guidelines

1.1 Application

This policy applies to all executive and non-executive directors, officers, employees, consultants and contractors of TOWER Limited (**TOWER**) and its subsidiaries.

1.2 Objective

This policy sets out guidelines to prevent insider trading and market manipulation, and to provide for appropriate disclosures. These guidelines are intended to be read in conjunction with, and subordinate to, the legal prohibitions in New Zealand, Australia and any other country where the relevant security may be listed.

If you do not understand any part of this policy, or how it applies to you, you should raise the matter with the Company Secretary and Compliance Manager before dealing with any securities covered by this policy.

1.3 Scope

This policy applies if you:

- a. have access to Material Information; or
- b. trade in Restricted Securities (either on your own account or as part of your job); or
- c. trade in any other listed securities for which you have access to Material Information; or
- d. engage in Related Party Transactions.

It also restricts market manipulation and provides specific guidelines for 'Restricted Persons'.

2. Fundamental rule

2.1 Definitions

In this policy:

“Material Information” is information that a reasonable person would expect to have a material effect on the price or value of the Restricted Securities or on a decision to buy or sell the Restricted Securities.

“Related Party Transactions” means trading in securities of a major shareholder of TOWER.

“Restricted Person” means any of those category of persons listed in clause 1.1 of this policy.

“Restricted Securities” means:

- a. TOWER's ordinary shares;
- b. any other listed securities of TOWER or its subsidiaries, and any listed derivatives (including futures contracts listed on an authorised futures exchange) in respect of TOWER securities, from time to time; and
- c. any other listed securities of any public issuer where Material Information may be known about those securities.

“TOWER Securities” means:

- a. TOWER's ordinary shares; and
- b. any other listed securities of TOWER or its subsidiaries, and any listed derivatives (including structured financial products, swaps, contracts for differences, spread bets, options, warrants, depositary receipts or futures contracts listed on an authorised futures exchange) created by third parties over TOWER's ordinary shares from time to time;

“trade” includes buying or selling Restricted Securities, or agreeing to do so, whether as principal or agent and similarly includes an **“intention to trade”**.

2.2 Material Information

Whether information is Material Information is an objective test. It is irrelevant how you think the information would affect the price of the Restricted Securities.

It does not matter how you come to know the Material Information (including whether you learn it in the course of carrying out your responsibilities, or in passing in the corridor, or in a lift, or at a social function).

Information includes matters of supposition, intentions of a person (including TOWER), and information which is insufficiently definite to warrant disclosure to the public.

The following are some examples of Material Information but this list is illustrative only. Material Information could include information concerning:

- a. the financial performance of the company;
- b. a possible change in the strategic direction of the company;
- c. the introduction of an important new product or service;
- d. a possible acquisition or sale of any assets or company by the company;
- e. entry into or the likely entry into or termination or likely termination of material contracts or other business arrangements which are not publicly known;
- f. a possible change in the company's capital structure;
- g. a change in the historical pattern of dividends;
- h. senior management changes;
- i. a material legal claim by or against the company;
- j. regulatory changes directly affecting the company, or the industries in which the company operates, or one of the company's competitors;
- k. an unexpected liability, which has not been released to the market; or
- l. an unannounced takeover offer.

2.3 Fundamental Rule – Insider trading is prohibited at all times

If you have any Material Information, it is a breach of this policy (and illegal) for you to:

- a. trade Restricted Securities to which the Material Information relates;
- b. advise or encourage another person to trade or hold Restricted Securities to which the Material Information relates;

- c. advise or encourage a person to advise or encourage another person to trade or hold Restricted Securities to which the Material Information relates; and
- d. directly or indirectly pass on the Material Information to anyone else - including colleagues, family or friends – knowing (or where you ought reasonably to know or believe) that the other person will, or is likely to use that information to trade or hold, or encourage someone else to trade or hold, Restricted Securities to which the Material Information relates.

The prohibitions apply regardless of how you learn of the information, and regardless of why you are trading or who does the trading based on your actions.

Where a person related to or closely connected with a Restricted Person undertakes trading in Restricted Securities, there is often a presumption that such person has been privy to information which is held by the Restricted Person. If that presumption is correct, both the Restricted Person and the other person may have engaged in insider trading. Even if that presumption is incorrect, such trading may create a perception of insider trading which is likely to be harmful to TOWER's reputation and business.

Accordingly, to the extent that it is within the Restricted Person's power to do so, Restricted Persons should ensure that any Restricted Securities trading which is prohibited by this policy is not undertaken by their:

- a. spouse or partner;
- b. immediate family members such as a parent, child, sibling, in-laws or other relative living in the Restricted Person's home or to whom material support is contributed;
- c. a company or trust over which the Restricted Person has influence or control (regardless of who is the beneficiary);
- d. a trust of which the Restricted Person is a beneficiary (other than a trust over which the Restricted Person exercises no control, i.e. a third person or entity exercises exclusive discretionary authority); and
- e. any other person over whom an Restricted Person has investment control or influence.

The prohibition on insider trading applies not only to information concerning TOWER's Securities. If a person has Material Information in relation to listed securities of another issuer (including futures contracts listed on an authorised futures exchange), that person must not trade in those securities. This will be of particular relevance to employees of TOWER Investments.

Material Information should only ever be disclosed to other TOWER personnel on a 'need to know' basis.

2.4 Exceptions and Defences

This policy does *not* apply to:

- a. involuntary acquisitions or disposals such as by gift or inheritance; or
- b. acquisitions through an issue of new shares on the exercise of options, under a rights issue, or a dividend reinvestment plan, equity incentive plan or share plan including the TOWER Limited Executive Share Option Plan (NZ).

Defences include:

Chinese Walls

Chinese walls are arrangements that restrict the flow of information between different departments of the same organisation so that Material Information is not communicated to a

person who is charged with making a decision to act. While the Securities Markets Act 1988 and the Corporations Act 2001 (Cth.) each recognise a Chinese wall defence, the following must be proved:

- a. you did not receive or have access to Material Information; and
- b. you were not influenced by the decision of someone who had Material Information; and
- c. the arrangements were effective; i.e. no person who took part in the decision received or had access to the Material Information or was influenced by someone who had the information.
- d. everyone who either had Material Information or who took part in the decision acted in accordance within those arrangements.

Other Defences

There are other defences to insider trading, such as where Material Information was obtained by research and analysis and was not obtained directly or indirectly from TOWER, or where trading or disclosure is required by law. However, in the first instance, you should seek confirmation from the Company Secretary and Compliance Manager as to whether an exception can be relied on before trading or disclosing information.

2.5 Liability

Committing an insider trading offence can subject you to:

- a. criminal liability under both Australian and New Zealand law, including large fines and/or imprisonment;
- b. civil liability under both Australian and New Zealand law, which may include being sued by another party or TOWER for any loss suffered as a result of illegal activity; and
- c. disciplinary action for breach of this policy, which may involve your employment being terminated for serious misconduct.

2.6 Market Manipulation

The practice of market manipulation is not permitted at any time by any person. Market manipulation includes, but is not limited to:

- a. Materially false or misleading statements or information released to the markets which is likely to induce a person to trade in the securities, impact on the price of the relevant securities, or which is likely to affect the way a person votes (or abstains from voting) on a transaction involving securities; or
- b. Acts or omissions which create a false or misleading appearance as to the extent of trading or the supply, demand, price or value for the relevant securities.

3. Additional Trading Restrictions for Restricted Persons

3.1 Persons covered by Securities Trading Restrictions

Additional trading restrictions apply if you are:

- a. A director (executive or non-executive) or other officer of TOWER;
- b. a member of the Group Executive;

- c. an employee who reports directly to a member of the Group Executive;
- d. an employee of TOWER Asset Management Limited (TAM);
- e. an employee (or relatives trading on their behalf) of TOWER who has access to the TAM dealing room;
- f. an employee who holds executive options pursuant to the TOWER Limited Executive Share Option Plan (NZ) or any replacement plan ; and
- g. anyone else designated by the Group Managing Director from time to time.

Anyone in this category is a '**Restricted Person**' for the purposes of clauses 3 and 4 of this policy.

3.2 Trading restrictions for Restricted Persons - blackout

Restricted Persons *are prohibited* from trading in any TOWER Securities during the **blackout** period:

- Between 1 March and the date of the announcement of TOWER's half yearly results to the NZX and ASX inclusive (usually late May).
- Between 1 August and the date of the announcement of TOWER's yearly results to the NZX and ASX inclusive (usually late November).

unless the Chairman of TOWER's board of directors provides a specific exemption. An exemption will ordinarily only be granted in situations of financial hardship and only in the event that the Restricted Person is not in possession of Material Information.

3.3 Trading restrictions for Restricted Persons - trading window:

Restricted Persons may trade in TOWER Securities, providing that they are not in possession of Material Information, during the trading window period:

- The day after the announcement of TOWER's yearly results to the NZX and ASX (usually late November) until 28 February.
- The day after the announcement of TOWER's half year results to the NZX and ASX (usually late May) until 31 July.

3.4 Additional trading restrictions for Restricted Persons (associated products)

Restricted Persons are prohibited from entering into transactions in relation to associated products of TOWER Securities which operate to limit the economic risk of their TOWER Securities.

3.5 Additional trading restrictions for Restricted Persons (personal trades)

When conducting personal trades within agreed guidelines, Restricted Persons must:

- a. not conduct personal trades to mirror or 'front-run' trading which is performed within their function; and
- b. not conduct transactions on personally held TOWER investment products when trading securities (as part of their job) which will impact on an asset valuation and affect its unit price; and

- c. ensure that all telephone trades which occur during office hours and use TOWER's equipment to perform the trades, use voice recording trading lines; and
- d. use a broker who is a member of the NZX or the ASX (as appropriate).

4. Applications for Consent for Restricted Persons

4.1 Application for consent before trading TOWER Securities

Before trading in TOWER Securities, at any time, Restricted Persons must seek consent using the Request for Consent to Trade in Listed Securities Form (see Appendix 1) and, if applicable, comply with sections 4.2 and 4.3.

No prior notification is needed for acquisitions of TOWER Securities through an issue of new shares on the exercise of options, under a rights issue, a dividend reinvestment plan, equity incentive plan or share plan including the TOWER Limited Executive Share Option Plan (NZ).

If granted, trading consent is only valid for a period of 15 trading days after notification of approval. Trading consent is automatically deemed to be withdrawn if the person becomes aware of Material Information prior to trading.

4.2 Certain Trades to be approved by Chairperson

The following trades by Restricted Persons must be approved by the Chairman of the Board:

- a. an acquisition or disposal of Restricted Securities by a TOWER Limited director or the Group Chief Financial Officer; or
- b. an acquisition or disposal of more than (20,000) TOWER Securities; or
- c. an acquisition or disposal involving TOWER Securities valued at NZ(\$25,000) or more.

All proposed trades in TOWER Securities by the Chairman of the Board must be approved by any other TOWER director.

4.3 Trades by employees of TOWER Asset Management

In addition to submitting the Request for Consent to Trade in Listed Securities Form (see Appendix 1), Restricted Persons who are employees (or relatives trading on their behalf) of TOWER Asset Management or who have access to the TAM dealing room must complete the Personal Pre-Trade Authorisation form on the TOWER intranet site:

<http://otis/intranetforms/PreTradeAuthorisation/Application.aspx>

4.4 When approval to trade TOWER Securities will be given

Approval to trade TOWER Securities will only be given if the Group Managing Director or Chairman of the Board (as applicable) is satisfied as to all of the following:

- a. the decision to buy or sell TOWER Securities has not been made on the basis of Material Information; and
- b. the applicant does not intend to sell the TOWER Securities within 6 months of when they are purchased.

4.5 Purchase of the TOWER Securities will be at their fair value

The applicant will be notified of the outcome of the application within 5 business days from when their completed application form was received.

5. Miscellaneous Provisions

5.1 If in doubt, don't

The rules contained in this policy do not replace your legal obligations. The boundary between what is (and is not) in breach of the law is not always clear. Sometimes behaviour that you consider to be ethical may actually be insider trading. If in doubt, don't!

Also, there are no 'safe' periods for dealing in Restricted Securities. You may never deal in Restricted Securities if you have Material Information.

5.2 Breaches of Policy

Strict compliance with this policy is a condition of employment. Breaches of this policy will be subject to disciplinary action, which may include termination of employment.

5.3 Monitoring of Trading

TOWER does monitor the trading of directors and employees as part of the administration of this policy.

5.4 Notification of Requirements After Trading

Restricted Persons must advise the Company Secretary and Compliance Manager promptly following completion of any trade or in regard to any other change in the ownership of TOWER Securities and must comply with any disclosure obligations they may have under the Securities Markets (Disclosure of Relevant Interests by Directors and Officers) Regulations 2003 or any other legislation relevant to the securities market on which the TOWER Securities are listed.

Directors of TOWER must report all acquisitions or disposals of Restricted Securities, including date, price and volume, without exception so that TOWER can comply with its NZX and ASX reporting obligations.

5.5 Short Term Trading Prohibited

You should not engage in short term trading (the buying or selling of Restricted Securities within a 3 month period of your last such opposite transaction), unless there are exceptional circumstances discussed with and approved by the Company Secretary and Compliance Manager.

Short term trading can be a key indicator of insider trading, particularly if undertaken on a regular basis or in large amounts. Therefore, to reduce the risk of an allegation of insider trading, do not trade Restricted Securities on a short-term basis.

5.6 Confidentiality

In addition to the above, you also have a duty of confidentiality to TOWER. You must not reveal any confidential information concerning TOWER to a third party (unless that third party has signed a confidentiality agreement with TOWER and you have been authorised to disclose the confidential information), or to use confidential information in any way which may injure or cause loss to TOWER, or use confidential information to gain an advantage for yourself. You should ensure that external advisers keep TOWER information confidential.

5.7 Review of Policy

This policy will be reviewed regularly. Comments and queries should be given to the Company Secretary & Compliance Manager.

Appendix 1 - Request for Consent to Trade in TOWER Securities Form

To: Company Secretary and Compliance Manager, TOWER Limited (**TOWER**)

In accordance with TOWER's Insider Trading and Market Manipulation Policy, I request TOWER's consent be given to the following proposed transaction to be undertaken either by me or persons associated with me, within 15 days of approval being given. I acknowledge TOWER is not advising or encouraging me to trade or hold securities and does not provide any securities recommendation.

Name:

Name of registered holder transacting (if different):

Address:

Position:

Description and number of securities:

Type of proposed transaction:

Purchase/sale/other (specify)

To be transacted:

On NZX/ASX/off-market trade/other (specify)

Likely date of transaction (on or about):

I declare that:

I do not hold Material Information regarding TOWER Securities within the meaning of TOWER's Insider Trading and Market Manipulation Policy.

I confirm:

- (where the proposed transaction is an acquisition) I do not intend to sell the TOWER Securities within 6 months of when they are purchased; and
- The price I am paying or receiving is arms length and fair, taking into account the price at which TOWER shares trade on the relevant date. I know of no reason to prohibit me from trading in TOWER Securities and certify that the details given above are complete, true and correct.

Signature _____ Date _____

TOWER hereby **consents / does not consent** to the proposed transaction described above. Any consent is conditional on the proposed transaction being completed within 15 trading days of the date of this consent, and in compliance with TOWER's Insider Trading and Market Manipulation Policy. Where staff are Restricted Persons who have access to the TAM dealing room, Personal Pre-Trade Authorisation has been **approved / declined**.